

INTERNAL AUDIT REPORT

Anti-Fraud Investigation Audit | Report No. AR-02330

Report ID:	AR-02330
Audit Type:	Anti-Fraud Investigation Audit
Report Date:	September 10, 2024
Audit Period:	2024-02-22 to 2024-09-08
Lead Auditor:	Joseph James (EMP-24863)
Reviewed By:	Nicole Pennington (EMP-14547)
Primary Vendor Reference:	OmegaLink Systems LLC (VND-04728)
Subject Employee Reference:	Kevin Riley (EMP-RM704)
Primary Transaction Reference:	TXN-C455980347
Overall Risk Rating:	CRITICAL

1. EXECUTIVE SUMMARY

This anti-fraud investigation audit covered the period 2024-02-22 to 2024-09-08 and focused on transactions and approvals associated with vendor OmegaLink Systems LLC (VND-04728). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **CRITICAL** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C455980347 (amount 930.58 USD) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-000052	LOW	FRAUD PATTERN	Transaction routed through 6 intermediate accounts before reaching final beneficiary. Unusual for PAYMENT transaction type.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000447	APPROVAL RECORD	EVD-WCX-4250	0.61
EVI-000472	VENDOR RECORD	EVD-HRS-9450	0.51
EVI-012603	VENDOR RECORD	EVD-KOW-4410	0.94
EVI-015865	TRANSACTION RECORD	EVD-OEU-9392	0.66
EVI-016249	POLICY DOCUMENT	EVD-HYD-3849	0.84
EVI-016883	EXPENSE CLAIM	EVD-WYT-4901	0.90

5. RECOMMENDATIONS

- Require compliance certificate verification as a system gate prior to payment release.
- Restrict post-termination system access to prevent ghost-approver scenarios.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Joseph James	EMP-24863	2024-09-10
Reviewing Officer	Nicole Pennington	EMP-14547	2024-09-12